‘Team Transitory’ holds for now in the States

US inflation is rising, but without the scale of the 2021-22 supply shock or the demand impetus that drove persistent inflation then. If tensions ease and oil prices fall in the second half of 2026, rate cuts remain more likely than hikes

Fed Chair, Jay Powell, at last month's press conference

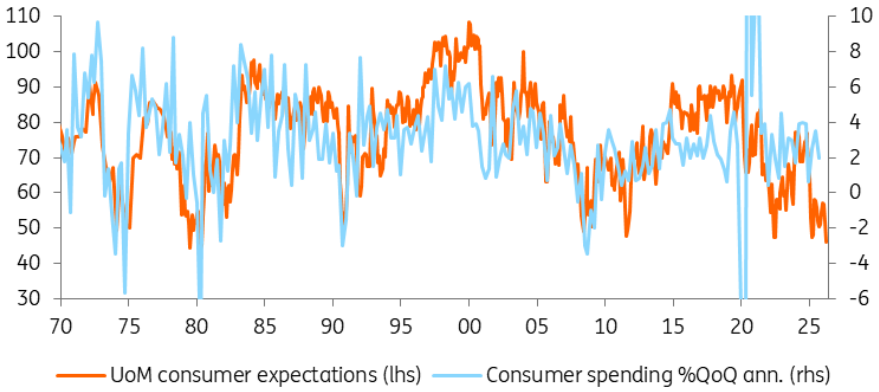
Inflation expectations remain tolerable

The Federal Reserve can’t do anything to ease the energy supply shock. Instead, its role is to ensure that inflation expectations remain contained and, for now, that seems to be the case. Long-term consumer inflation expectations are tolerable, being a full percentage point below the 4.4% figure hit in the wake of the 'Liberation Day' tariffs 12 months ago. Meanwhile, break-even inflation rates on Treasury Inflation-Protected Securities have not shifted to a worrying degree – the 2Y implied rate is at 2.9%, 5Y at 2.7% and 10Y at 2.4%. In January, the averages were 2.5%, 2.4% and 2.3% respectively. As such, the central bank, households, and financial markets appear to believe that inflation is likely to be transitory.

While we expect US headline inflation to soon breach 4% on higher motor fuel and airline fare costs, we certainly don’t think we are in for a repeat of 2022, when inflation got within touching distance of 10%, and the Fed had to hike the policy rate by 525bp. That is primarily because the supply shock is not as broad as the pandemic-related supply chain stresses in 2022, focused on motor and aviation fuel. At the same time, we don't have the same sort of demand impetus that would risk a broader, more persistent inflation story.

US companies have not been able to pass on the $25bn per month cost of tariffs to consumers in a meaningful way, with core goods consumer prices rising little more than 1% year-on-year. This gives us reason to doubt they will be able to pass on higher energy and distribution costs outside of airline fares. Furthermore, US natural gas prices have been falling, suggesting that developments in the Middle East will be less impactful on US utility costs than in Asia and Europe.

Sentiment slump points to softer spending growth



Source: Macrobond, ING

High energy costs likely to be demand destructive

In terms of activity, the differences with 2022 are even starker. The economy added 4.5 million jobs in 2022, wage growth averaged nearly 6%, savings had been built up during the pandemic, we had stimulus checks and significant pent-up demand as people sought a return to their pre-Covid lifestyles. Today, the jobs market has stalled, wage growth is closer to 3%, confidence is at record lows, savings have been depleted, and real household disposable income is flat-lining. Even the tax refund story, which we had hoped would provide a near-term boost to spending power, is looking less supportive than predicted. After disappointing January and February consumer spending data, surging energy costs will eat into household spending power and risk being demand destructive, hence our downward revision to 2026 GDP growth to 2.2% from 2.5%.

It isn't all bad news. Net trade is making a positive contribution to growth while pipeline indicators for business investment remain strong, especially for tech-related business capital expenditure. Government spending should also provide a significant boost to first-quarter GDP growth after the October shutdown weighed heavily on fourth-quarter 2025 economic activity.

Dual mandate suggests rate cuts remain on the cards for late 2026

In terms of what this means for our call on Federal Reserve policy, we continue to believe interest rate cuts are more likely than hikes. With weaker consumer spending growth, core (excluding food and energy) price inflation is expected to be further dampened. In this regard, we need to remember the importance of shelter costs within the US inflation basket (35.5% weighting for headline and 44% for core), which we expect to moderate further.

The Federal Reserve's dual mandate of price stability and maximising employment is a key distinguishing feature of the US. Having failed to create jobs in meaningful numbers over the past 18 months, when growth was strong, the risk is that we see weaker US jobs figures on the back of geopolitical, financial-market and economic angst. Remember, too, that the Fed still views the current stance of monetary policy as being very modestly restrictive. With a new Fed governor taking office and key elections this year, the political pressure for action will intensify.

As such, if we do see Middle East tensions ease and oil prices drop back in the second half of this year, there is a strong chance of sub-2% inflation being achieved in 2027. So, while the Fed is likely to sound relatively hawkish in the near term, we continue to see scope for two 25bp rate cuts towards the end of the year.

Author

James Knightley
Chief International Economist, US
james.knightley@ing.com

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